

Unemployment and its costs



The unemployment rate is perhaps the economic variable that worries people the most, and it is probably the most politically sensitive. An obvious point is that unemployment causes great suffering: people who are out of work experience economic hardship and unhappiness. Sometimes unemployment is quite fleeting, as people move between jobs: it is people who are unemployed for long periods of time who suffer the most.

High unemployment also means that resources are lying idle. During recessions, machines and factories also tend to be underused because of weak demand, but unemployment usually gets the most attention. So when a high rate of unemployment persists over time, society loses out on goods and services that could have been produced if people had jobs. People who find themselves out of work for long periods of time can also get into a vicious cycle whereby their skills become obsolete and their

morale is undermined, making it even harder to get back into work.